

Practical Budget Planning for SACCO Members

A step-by-step guide to managing your monthly income in Uganda | aBi Finance / FSDU

What Is a Budget and Why Do You Need One?

A budget is a written plan that decides in advance where every shilling of your income will go. Without a plan, money disappears on small untracked purchases and you arrive at the end of the month with nothing left for savings or emergencies.

SACCO members who maintain a monthly budget consistently save more, repay loans on time, and are better prepared for emergencies than those who do not. Budgeting is not about earning more — it is about controlling what you already earn.

Even a simple budget written in a notebook or on your phone is far better than no budget at all.

The SACCO 50/20/20/10 Budget Framework

This framework divides your monthly income into four parts. It is designed specifically for SACCO members who have an active loan:

Category	Target Share	What It Covers
Needs	50%	Rent, food, transport
Loan Repayment	20%	Your monthly SACCO
Savings	20%	Emergency fund, sa
Personal	10%	Airtime, clothing, en

Example on UGX 600,000 income: Needs = UGX 300,000. Loan repayment = UGX 120,000. Savings = UGX 120,000. Personal = UGX 60,000.

Warning sign: if your loan repayment alone exceeds 20% of your income, your loan may be too large for your current earnings. Visit your SACCO and request a restructure to extend the repayment period and reduce the monthly amount.

Step-by-Step: Building Your Monthly Budget

Step 1 — Write down all your income. Include salary, business profit, side work, and any regular transfers. Use the lowest realistic figure, not your best month.

Step 2 — List your fixed expenses first. These are amounts that do not change: rent, school fees (divide the term amount by 3 for a monthly figure), and your loan repayment.

Step 3 — Estimate your variable expenses. Food, transport, airtime, and utilities change month to month. Track them for two weeks if you are unsure — most people underestimate food by 20–30%.

Step 4 — Subtract all expenses from income. If the result is negative, you are overspending. Cut personal spending first, then look at variable expenses. If positive, that surplus goes straight to

savings.

Step 5 — Review at the end of every month. Compare what you planned with what actually happened. Adjust the next month's budget based on what you learned.

Managing a Budget on Irregular Income

Many Ugandan SACCO members — traders, farmers, boda riders, tailors — do not earn the same amount every month. Here is how to budget when income varies:

Calculate your average monthly income over the last six months. Build your budget around 80% of that average. In good months, save the extra. In lean months, draw from that buffer rather than skipping loan repayments.

Never skip a loan repayment because of a bad month. Missed payments attract penalties and damage your credit record within the SACCO. If you anticipate a difficult month, contact your SACCO officer in advance.

Keep a small buffer account — even UGX 50,000–100,000 set aside — specifically to cover loan repayments during low-income months.

Practical Budgeting Tools You Can Use Today

Notebook method: Rule a page into four columns — Category, Planned Amount, Actual Amount, Difference. Update it weekly.

Envelope method (for cash earners): On payday, put the planned cash for each category into a labelled envelope. When an envelope is empty, spending in that category stops.

Mobile money method: Use separate mobile money accounts or sub-wallets for savings and loan repayments. Transfer those amounts immediately on payday before spending anything else.

The golden rule of budgeting: Pay yourself (savings) and your obligations (loan) first. Spend what remains — never the other way around.

Common Budget Mistakes and How to Avoid Them

Forgetting annual or seasonal expenses: School fees, harvest inputs, and festive spending feel like surprises, but they happen every year. Divide the expected cost by 12 and add it to your monthly budget now.

Budgeting income but not tracking expenses: Writing down your income plan means nothing if you do not also record what you actually spend. Track every purchase for at least one month.

Giving up after one bad month: A budget is a habit, not a one-time event. A bad month teaches you something. Adjust and continue — do not abandon the plan.